Amendment No. 1 to SB1379

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 1379 House Bill No. 1175*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 49-13-136(c)(1), is amended by adding the language "or child care agencies, as defined in Section 2," after the language "one (1) or more public charter schools" and by adding the language "or child care agency" after the language "used by a public charter school".

SECTION 2. Tennessee Code Annotated, Title 49, Chapter 2, Part 1, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Child care agency" means a child care agency as defined in § 71-3-501 that is licensed to operate in this state by the department of human services;

(2) "Underutilized property" has the same meaning as defined in § 49-13-104; and

(3) "Vacant property" has the same meaning as defined in § 49-13-104.

(b) An LEA in which a child care agency operates shall submit a comprehensive listing of all underutilized property or vacant property to the department of human services and the comptroller of the treasury. The department shall make an LEA's list available to each child care agency operating in the LEA.

(c) A child care agency may petition the comptroller of the treasury for an audit of the list of all underutilized property or vacant property submitted by the LEA in which the child care agency operates. The comptroller of the treasury is authorized to promulgate rules, in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, for the administration of this subsection (c).

(d)

(1) A child care agency that is operating in an LEA that does not have one (1) or more public charter schools operating within the geographic boundaries of the LEA has a right of first refusal to:

(A) Purchase vacant property listed by the LEA under this section at or below fair market value for child care purposes; or

(B) Lease underutilized property or vacant property listed by the LEA under this section at or below fair market value for child care purposes. A lease agreement executed between a child care agency and an LEA must not reflect any outstanding bonded debt on the underutilized property or vacant property, except as agreed upon to reflect any necessary costs associated with the occupation or remodeling of the agency.

(2) If one (1) or more public charter schools operate in the LEA in which a child care agency also operates, then a child care agency operating in the LEA has a right of second refusal to purchase vacant property or lease underutilized property or vacant property listed by the LEA in the same manner and to the same extent as provided in subdivision (d)(1).

(3) For purposes of this subsection (d), fair market value for child care purposes is determined by taking the average of two (2) separate appraisals conducted by two (2) independent, qualified appraisers, one (1) selected by the LEA and one (1) selected by the child care agency.

(e)

(1) Upon the execution of a lease agreement pursuant to this section, the child care agency has unrestricted use of the property; provided, that the

property must be used to provide child care services. The child care agency shall provide for routine maintenance and repair so that the leased property is maintained in as good of order as when the lease was executed. The child care agency is responsible for paying all utilities used by the child care agency at the leased property. Extensive repairs to buildings or facilities considered capital expenses are the responsibility of the LEA funding body and not the child care agency. If the owner or operator of the child care agency makes extensive repairs to buildings or facilities considered capital expenses, then the capital expenses must be credited against the cost of the lease. Any fixtures, improvements, or tangible assets added to leased property by the child care agency pursuant to this section must remain at the leased property upon the child care agency's return of the leased property to the LEA.

(2) If the LEA decides to sell the school building that a child care agency is leasing, then the child care agency must be provided the right of first refusal to purchase the school building at or below fair market value for child care purposes, as described in subdivision (d)(3), less the value of all rental payments made to the LEA during the term of the lease.

(3) If, during the term of the lease, the child care agency closes or ceases using the building, then the building must be placed on the LEA's vacant or underutilized property list pursuant to this section.

(f) If, after the purchase of vacant or underutilized property from an LEA pursuant to this section, the child care agency closes or ceases using the property, then the LEA has the right of first refusal to purchase the property from the child care agency at or below fair market value for child care purposes, as described in subdivision (d)(3). This subsection (f) does not require a child care agency to sell any property other than the property sold to the child care agency by the LEA pursuant to this section, if the LEA elects to exercise its right of first refusal.

(g) The comptroller of the treasury may promulgate rules, in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, for the administration of this section.

(h) This section is not intended to frustrate an LEA's ability to plan for the use of underutilized properties or vacant properties owned or operated by the LEA. In any LEA in which a child care agency operates, the LEA shall submit each year its plans for the use of underutilized or vacant properties owned or operated by the LEA in its annual report to the department of human services and the comptroller of the treasury.

SECTION 3. Tennessee Code Annotated, Section 71-3-501, is amended by adding the following as a new subdivision:

( ) "Host school" means a public or private school that has a child care agency or early learning program operating at the school, but that is not affiliated with the school;

SECTION 4. Tennessee Code Annotated, Section 71-3-502(d)(3), is amended by deleting the subdivision and substituting:

(3) If the department determines that any of the criteria in subdivision (d)(2) has not been or cannot be met, then it may deny an application for a provisional license. The department shall not deny a provisional license under this subdivision (d)(3) if:

(A) A host school's fire inspection is sufficient to meet the department's requirements for a provisional license as described in subdivision (d)(2) for a child care agency or early learning program operating at the host school for same age children as in the host school; and

(B) The host school's facilities are sufficient to meet the department's requirements as described in subdivision (d)(2) for a provisional license.

SECTION 5. Tennessee Code Annotated, Title 71, Chapter 3, Part 5, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Child care family home" means a family child care home that is operated in an occupied residential dwelling; and

(2) "Local governing authority" means the governing body of the municipality or county where a child care family home is located.

(b)

(1) Except as required by subdivision (b)(2), a local governing authority shall treat a child care family home as residential property in the application of local regulations, including:

(A) Zoning;

(B) Land use development; and

(C) Sanitation.

(2) A local governing authority shall apply the standards adopted by the state fire marshal pursuant to § 68-120-101 to a child care family home for the following:

(A) Fire and life safety standards; and

(B) Applicable building codes.

(c) For zoning purposes, "residential property use" includes single-family residential zoning.

(d) For a child care family home, a local governing authority shall not impose:

(1) Stricter requirements than those established by the division of fire prevention; or

(2) Any additional regulations that do not apply to other residential properties.

(e) This section does not restrict a local governing authority from managing the flow of traffic and parking adjacent to a child care family home.

SECTION 6. This act takes effect July 1, 2025, the public welfare requiring it.